Do We Need an Elder Law Attorney?

A plain-English guide to the legal questions that come up when Mom needs care now.

Not long ago you weren't thinking about powers of attorney or deeds. Now Mom needs care, and every conversation seems to end with “you should talk to a lawyer.”

This guide can't answer its own title for your family. It can show you which of your questions are legal ones and what to gather before you ask an attorney. It explains in general terms. It doesn't advise.

Why the legal questions arrive with the care

The Family Caregiver Alliance says it's easy to feel overwhelmed by the legal and financial questions that can arise when a family member has a disabling health condition: who gets to make decisions, when it is time to consult an attorney, how to pay for long-term care. [1]

The paying question often brings the rest with it. Medicare.gov says Medicare and most health insurance don't pay for long-term care services. That is often when a family starts looking at Mom's own money, her house and Medicaid, and those questions lead back to papers somebody signed. [2]

The Consumer Financial Protection Bureau's guide for people managing a relative's money is brief about what follows: Medicaid is complicated, so get legal advice and be very careful about decisions that may affect eligibility for Medicaid. [3]

- Finding the papers, listing the facts and writing down questions is a family's work, and your Medicaid planner can help you organize it.
- Saying what a document allows, who has authority, or whether to change who owns something calls for legal advice. In this roadmap, that belongs to an elder law attorney.

Who can act for Mom, and what her papers say

A power of attorney is a legal document that allows someone else, called the agent, to act on a person's behalf. An agent's authority is strictly limited to what the document and state law allow, and a power of attorney may take effect right away or only when the person can no longer make her own decisions. Two families' documents can read very differently. [4] [3]

Health decisions have papers of their own: a health care power of attorney gives authority to make health care decisions, and a living will tells which treatments a person wants if they are dying or permanently unconscious. [5] [6]

Signing one of these doesn't take Mom out of the picture. The CFPB's guide says a person who signed a power of attorney can still manage her own money and property as long as she is able to make decisions. Whether Mom can make a given decision isn't something a family or this guide can settle. [3]

- For each document: what kind it is, its date, where it's kept, and who it names, copied as written.
- What you've seen of how Mom is handling decisions, as plain observations with dates.
- For the attorney: does what we have allow us to do what needs to be done now?

The house, trusts and transfers

A trust may already be among Mom's papers, or someone may have suggested one. A trustee makes decisions about money or property in a trust, and only what is in it. The CFPB's guide for trustees says a living trust is ineffective unless the person puts her money or property into it, and notes that other types of trusts exist. [5] [7]

For Medicaid, the details matter. Medicaid.gov says a trust that a person, a spouse or someone acting for them sets up with at least some of the person's own funds can be considered available to that person when eligibility is determined. Can be, not will be: how any one trust is treated turns on its terms and on the state. [8]

The house and gifts are the same kind of question. Families often talk about putting the house in someone's name or moving money, and how that would be treated depends on the details and on your state. The CFPB tells agents to get legal advice before making any change to a joint account. [3]

You may also hear the words estate recovery. That is Medicaid.gov's term for a state Medicaid program recovering, from an enrollee's estate, certain benefits it paid on that person's behalf. What it could mean for a particular home is a question for the attorney. [9]

- How the home and other property are titled, as far as you know.
- Any trust document, whole, and what you can see is in the trust's name.
- Gifts, transfers and ownership changes already made, with dates. Separately, the ones only being discussed.

Getting ready for the attorney

All this gathering is for an attorney review that starts from the facts. Bring the documents you found, the facts you wrote down, the financial information you've organized, your open questions, and the decisions waiting on legal judgment. Afterward, write down what the attorney recommended so it can go into the overall plan.

If you don't have an attorney, the Family Caregiver Alliance says a family can ask its local Area Agency on Aging for a legal consult or hire an attorney who specializes in eldercare law. If cost is the worry, USA.gov lists programs that give free legal advice and may help you find a free or low-cost attorney; some limit their services to people with low incomes. [1] [10]

What this means for your family

- This guide can't tell you whether your family needs an attorney. It can tell you that who may act for Mom, what a document allows, the house, a trust and any transfer are legal questions, and that the roadmap takes them to an elder law attorney before anything is changed.
- Your part is to find, list and write down, with dates. It isn't to conclude.
- Your Medicaid planner helps you organize the facts and documents for the attorney's review, then updates the overall plan based on the attorney's recommendations.

What this guide doesn't do

It doesn't interpret any document, say who has authority to act for Mom, tell you how a trust, a gift or the house would be treated, or recommend a strategy. Nothing here is legal, financial or tax advice, and rules vary by state. The general statements come from the sources below. The advice about what to gather is ours.

Ready for the next step?

You can now tell which of your questions are legal ones and what to gather for each. The planning interview asks about the rest of your family's situation and gives you a free planning report you can bring to your Medicaid planner, to an elder law attorney, or to any conversation about paying for Mom's care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Family Caregiver Alliance, What should I do to help get my family member's legal and financial affairs in order?
2. Medicare.gov (Centers for Medicare & Medicaid Services), Long Term Care Coverage
3. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
4. Consumer Financial Protection Bureau, What is a power of attorney (POA)?
5. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
6. MedlinePlus (National Library of Medicine), Advance Directives
7. Consumer Financial Protection Bureau, Managing someone else's money: Help for trustees under a revocable living trust
8. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy
9. Centers for Medicare & Medicaid Services (Medicaid.gov), Estate Recovery
10. USA.gov, Find a lawyer for affordable legal aid
